

Price	Buy Option CE550	Sell Option CE460
Price < ₹460	✗ Exercised	✗ Exercised
Price = ₹500	✗ Exercised	✓ Exercised
Price > ₹600	✓ Exercised	✓ Exercised



NET INFLOW/MAXIMUM PROFIT = Net premium
 $= ₹25 - ₹15$
 $= ₹10$ per share

So, while we are below ₹460 or at ₹460, we are in profits. As we go up from ₹460 to ₹470, our profits start to reduce.



BREAK EVEN POINT = Lower strike price + Net premium
 $= ₹460 + ₹10$
 $= ₹470$

As we move beyond break-even point to ₹550, we make losses. At ₹550, again, our losses are capped.



MAXIMUM LOSS = Difference in Strike prices - Net Premium
 $= (₹550 - ₹460) - ₹10$
 $= ₹80$

Beyond ₹550, we have reached maximum losses any increase in price will not increase our loss.